JUSTICE ALITO delivered the opinion of the Court.

When taxpayers fall behind on their property-tax bills, federal, state, and local governments alike have long used foreclosure and sale as a collection method. In *Tyler* v. *Hennepin County*, 598 U. S. 631 (2023), we held that the Fifth Amendment Takings Clause requires the government to return any surplus proceeds from tax foreclosure sales, *i. e.*, the difference between the sale price and the taxpayer's debt. The question presented here is whether the government must pay more when the sale price falls below the property's hypothetical fair market value. In other words, is the constitutional baseline for "just compensation" the actual tax-sale price or the price that someone would pay for the property in a hypothetical open-market transaction?

We conclude that the proper baseline under the Takings Clause is the price obtained in a tax sale, at least when the sale is fairly conducted in light of our country's history of tax sales. We also hold that, following a tax sale, the Eighth Amendment Excessive Fines Clause does not require the government to return more than the surplus proceeds. Neither the Fifth nor the Eighth Amendment requires the government to compensate former owners based on the hypothetical fair market value of their property.

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I

In 2010, a local tax assessor denied the Pung family a state-law tax exemption for principal residences. The Pungs took the dispute to the Michigan Tax Tribunal, where they prevailed, but that did not end the matter. They had to litigate a similar dispute in the state courts when the assessor once again denied the exemption. In this second round, the Pungs prevailed again. Yet they still owed $2,241.93 in real-property taxes. The family refused to pay,

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for the New York Association of Towns et al. by *Kathleen N. Hodgdon* and *Stephen J. Acquario*; for Beth A. Colgan, *pro se*; and for Cyrus Sanai et al. by *Frances L. Diaz.*

and Isabella County, Michigan (County), initiated foreclosure proceedings. Although a state trial court blocked the proceedings at first, the Michigan Court of Appeals allowed the foreclosure and sale to proceed. The County followed the procedures required by the Michigan General Property Tax Act. That Act required the County to give the Pungs a period of redemption to pay off their tax debt, to provide public notice of the tax sale, to sell the property to the highest bidder, and to obtain a judgment of foreclosure from a Michigan court. See Mich. Comp. Laws §211.78m (West 2026); App. 85–88. At a public auction, the Pung home sold for $76,008, even though its assessed value for tax purposes was $194,400.[1] The County initially kept all the sale proceeds.

Michael Pung sued in Federal court, claiming that the County violated the Takings Clause of the Fifth Amendment and the Excessive Fines Clause of the Eighth Amendment. The District Court granted Pung partial summary judgment on his Fifth Amendment claim, holding that he was entitled to the surplus proceeds from the tax sale. Because it ruled for Pung on his Fifth Amendment claim, the District Court concluded that it need not reach the question whether the Eighth Amendment demanded a similar result. But while agreeing with Pung that the County had to refund the surplus proceeds of the tax sale, the court rejected his argument that compensation should be measured by the property's fair market value.

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Pung appealed, and the Sixth Circuit affirmed. Based largely on Circuit precedent, the court held that a "'plaintiff whose property is foreclosed and sold at a public auction for failure to pay taxes is [not] entitled to recoup the fair market value of the property.'" App. to Pet. for Cert. 11a (Pet. App.) (alteration in original). Instead, "'when a municipality sells foreclosed property at a properly conducted public auction,' the owner is entitled to 'the amount of the sale above his

[1] Nearly 18 months later, the auction purchaser re-sold the property for $195,000.

debt and no more.'" *Ibid.* Thus, the court concluded that Pung should receive $73,766.07—the difference between the sale price of the home and the tax debt.

The Sixth Circuit also rejected Pung's Eighth Amendment claim. Bound by Circuit precedent, the court held that the Michigan tax-foreclosure regime was not punitive and thus not "within the ambit of the Eighth Amendment." *Id.*, at 15a. Pung then sought certiorari on the following two questions:

> "1. Whether taking and selling a home to satisfy a debt to the government, and keeping the surplus value as a windfall, violates the Takings Clause of the Fifth Amendment when the compensation is based on the artificially depressed auction sale price rather than the property's fair market value?
>
> "2. Whether the forfeiture of real property worth far more than needed to satisfy a tax debt but sold for [a] fraction of its real value constitutes an excessive fine under the Eighth Amendment, particularly when the debt was never actually owed?" Pet. for Cert. i.

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We granted review on those questions. 606 U. S. 1066 (2025).

II

A

The first question presented is whether "just compensation" following a tax sale is measured by the price that the property fetched at auction or its hypothetical fair market value. We hold that the auction price is the proper baseline, at least when the procedure is fair in light of our country's history of tax sales.

Since the time of Magna Carta, governments have seized property from delinquent taxpayers. *Tyler*, 598 U. S., at 639. When governments collected taxes this way, they were obligated to pay back the "overplus"—that is, the difference between the proceeds of the tax sale and the tax debt. *Id.*,

at 639–640. A long legal tradition dating back to the Founding embodies this principle.

Federal statutes from the early days of the Republic required the Federal Government to return to the former property owner any surplus proceeds from a tax sale. Act of May 4, 1812, § 8, 2 Stat. 727 (for properties located in Washington, D. C.); Act of Jan. 9, 1815, § 27, 3 Stat. 174 (nationally applicable law that required the refund of the "surplus of the proceeds of the sale, after satisfying the tax, costs, charges and commissions"). Federal statutes enacted later in the 19th century continued to require the Government to refund only the "surplus of the proceeds of the sale, after satisfying the tax, costs, and charges." Act of July 13, 1866, § 9, 14 Stat. 108; Rev. Stat. § 3195 (1875).

During all this time, State laws said much the same. See *Tyler*, 598 U. S., at 640, and n. 1. For example, a 1797 Maryland law required local officials to return the "overplus" from a tax sale to the former owner. 1797 Md. Laws ch. 90, § 5. Likewise, a 1792 North Carolina statute made the Sheriff "accountable to the owners of the lands for all monies which may come into his hands over and above the sums due for public taxes." 1792 N. C. Sess. Laws § 6, p. 23. And a 1785 Massachusetts law directed that the "overplus . . . be immediately restored to the former owner." 1785 Mass. Acts p. 568. Shortly after the ratification of the Fourteenth Amendment, a leading treatise surveyed state practices and found several ways of refunding surplus funds—some did so by bond, others through the county treasury—but all refunded only the "surplus" "if the bid exceed the tax." T. Cooley, Law of Taxation 343 (1876).

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This Court's precedents applied the same rule. In *United States* v. *Taylor*, 104 U. S. 216 (1881), the Court held that federal law required the Government to issue a large refund following the tax sale of a property worth much more than the owner's tax debt. There, the owner owed just $70.50 in taxes, and the Government sold the owner's property for

$3000. *Id.*, at 217. The Court held that the taxpayer was legally entitled to the difference. *Id.*, at 217, 222. Three years later, in *United States* v. *Lawton*, 110 U. S. 146 (1884), the Court recognized the constitutional dimension of the rule. "To withhold the surplus from the owner would be to violate the Fifth Amendment to the Constitution and to deprive him of his property without due process of law, or to take his property for public use without just compensation." *Id.*, at 150. Thus, the Court held that the Government was required to refund a taxpayer $929.50—the surplus generated in a sale to satisfy a $170.50 tax debt. *Id.*, at 149–151. Similarly, in *Nelson* v. *City of New York*, 352 U. S. 103, 109–110 (1956), the Court recognized an owner's right to surplus proceeds, but also explained that this right was not absolute and could be subject to reasonable time limits established by state statute. Finally, in *BFP* v. *Resolution Trust Corp.*, 511 U. S. 531, 545 (1994), this Court interpreted the Bankruptcy Code to allow foreclosure sales for any "price in fact received at the foreclosure sale, so long as all the requirements of the State's foreclosure law have been complied with." The Court rejected any suggestion that the owner of a foreclosed property is entitled to recover the fair market value of that property. *Id.*, at 538–539.

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In short, for hundreds of years, English and American law have allowed the seizure and sale of property as a tax-collection method, provided that the government return any surplus proceeds to the debtor. Our Nation's history and this Court's precedent thus establish the principle that when the government seizes and sells property to collect a tax debt, the owner is entitled to the surplus sale proceeds—nothing less, and nothing more. The baseline for measuring just compensation in the tax-sale context is therefore the sale price, not the property's hypothetical fair market value, at least when the sale is fairly conducted in light of our country's history of tax sales.

B

Neither history nor precedent supports Pung's contrary argument. In support of his position, Pung first cites a recent concurrence by a Justice of the Supreme Court of Michigan that accepts fair market value as the baseline for just compensation under the State Constitution. See *Rafaeli, LLC* v. *Oakland County*, 505 Mich. 429, 485–522, 952 N. W. 2d 434, 466–487 (2020) (Viviano, J., concurring). It goes without saying that a one-Justice concurrence interpreting a state constitutional provision almost 230 years after the Takings Clause's ratification does not shed much light on that Clause's meaning. The more telling feature of that decision is the majority's express rejection of the proposition "that just compensation requires that plaintiffs be awarded the fair market value of their properties." *Id.*, at 483, 952 N. W. 2d, at 465. So *Rafaeli*, if anything, undermines Pung's argument.

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Pung also cites state-court cases in which courts ordered compensation based on the seized property's fair market value. But those cases concerned governments that unnecessarily sold multiple discrete pieces of personal property. For example, in *Cone* v. *Forest*, 126 Mass. 97, 101 (1879), a sheriff sold nine of a taxpayer's cows even though the sale proceeds from seven would have covered the tax debt. Because the cows were nine separate pieces of property "sold separately," the Supreme Judicial Court of Massachusetts held that the sheriff committed the tort of conversion by selling the final two, and it ordered him to compensate the taxpayer based on the two cows' fair market value. *Ibid.* Other state courts issued similar rulings in cases where the government seized "several distinct parcels or units of personal property." *Lane* v. *Roma Lumber Co.*, 234 Ala. 551, 552, 176 So. 283, 284 (1937); see also, *e. g.*, *Denton* v. *Carroll*, 4 App. Div. 532, 536–537, 40 N. Y. S. 19, 22 (1896); *Seekins* v. *Goodale*, 61 Me. 400, 402–404 (1873). But here, the County sold just one modestly sized parcel of real property, and

Pung does not argue that the parcel could have been subdivided. Thus, even if we assume that a different common-law rule applies when the government sells more property than necessary, that rule does not apply here.[2]

Because Pung lacks tax-sale cases that support his argument, he turns to eminent-domain cases. These cases involve government seizure of property for a public use, like establishing a park or building railroad tracks. *PennEast Pipeline Co.* v. *New Jersey*, 594 U. S. 482, 487 (2021). In that context, fair market value is the default measure of "just compensation." See, *e. g.*, *Knick* v. *Township of Scott*, 588 U. S. 180, 190 (2019). But what is "just" in one context may not be "just" in another. Even in eminent-domain cases, the Court has "refused to designate market value as the sole measure of just compensation," recognizing that "there are situations where this standard is inappropriate." *United States* v. *564.54 Acres of Monroe and Pike County Land*, 441 U. S. 506, 512 (1979) ("'[W]hen market value has been too difficult to find, or when its application would result in manifest injustice to owner or public, courts have fashioned and applied other standards' ").

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Tax sales constitute such a situation. If a property owner receives proper notice that his or her property may be sold to recover unpaid taxes and if the owner believes that the fair market value of the property exceeds the taxes that are due, the owner may be able to avoid foreclosure by refinancing the property or using the property as collateral for a new loan to pay off the taxes. Or the owner may be able to sell the property (or other property) himself before foreclosure, pay off the tax debt, and keep what is left to buy or rent a new home. See, *e. g.*, 26 U. S. C. §6325(b)(3) (permitting discharge of federal tax liens for properties to be sold).

[2] Pung also argues that, before selling his family's home, the County should have tried to recover the unpaid taxes by less drastic means, such as by seizing and selling his personal property. But, as we will explain, *infra*, at 42–43, this argument is not properly before us.

Here, the Pungs had years to take these steps and avoid foreclosure. See Mich. Comp. Laws § 211.78g(3); §§ 211.78k(5)–(6). They failed to do so. In such a situation, the traditional rule, under which the taxpayer receives only the difference between the auction sale price and unpaid taxes, is "just."

Pung disagrees because tax sales frequently yield less than could have been obtained if the property had been "sold at leisure and pursuant to normal marketing techniques." *BFP*, 511 U. S., at 539. But tax sales, by their very nature, are incompatible with these techniques. Among other things, tax sales are designed to collect unpaid taxes without undue delay and administrative expense. By contrast, home owners who want to receive the best price for their property may wait to list their house until there is an upswing in the market or until the right buyer comes along.

Pung's fair-market-value theory would impose unprecedented burdens on jurisdictions that wish to collect unpaid taxes and might well make tax sales impractical. In order to obtain something like fair market value for homes on which they have foreclosed, jurisdictions would have to do what homeowners typically do when they want to sell their homes: either shoulder the burden of selling the property themselves or employ a real estate agent. In the meantime, local governments would have to do without the unpaid taxes and bear the costs and risks that go with the ownership of unoccupied homes.[3]

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[3] To name just a few: What would happen if the property did not immediately sell for what the owner claims is the fair market value? Should the government hold out for a higher offer? Or should it sell the property and hope it can convince a court that the owner's estimate of the fair market value was too high? Either way, the government would incur significant cost or risk. Some *amici* point out that various States have enacted regimes that require these kinds of choices. See, *e. g.*, Brief for AARP et al. as *Amici Curiae* 14–17; Brief for Legal Services of New Jersey as *Amicus Curiae* 16–18. But it is one thing for a state legislature

If, on the other hand, these jurisdictions proceeded with traditional tax-sale procedures, then application of Pung's proposed rule would often produce a net loss. The government would be on the hook for any difference between the foreclosed property's fair market value and the tax-sale price.

To illustrate this problem, consider a hypothetical property with a fair market value of $100,000. Suppose the property owner falls behind on his taxes and owes $20,000 to the local tax authority. The government then seizes the property and sells it at a public auction for $60,000. Under the longstanding historical rule, the government would keep $20,000 to satisfy the tax debt and return to the prior owner $40,000—the surplus proceeds from the tax sale. But under Pung's fair-market-value rule, the government would have to pay the owner $80,000—the property's fair market value minus the value of the tax debt—even though that sum exceeds what the government obtained from the tax sale. Thus, under Pung's rule, a tax sale to collect $20,000 in delinquent taxes would net the government a $20,000 *loss*—a loss paid out to the delinquent taxpayer himself. The possibility of such a perverse result would render tax sales infeasible as a debt-collection mechanism. And jurisdictions with a large inventory of unpaid taxes might well compensate for this lost revenue by increasing the burden on residents who do pay their taxes. So for taxpayers viewed as a group, the demise of tax sales might be a most unwelcome development.

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Our task in this case, however, is not to decide whether tax sales as historically conducted represent good public policy. Our authority is limited to deciding whether the Takings Clause requires the transformation Pung advocates, and the answer to that question is clear. Tax sales have been an accepted means for governments to collect debts since the

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to choose such a regime. It is quite another for this Court to impose such a regime as a matter of constitutional law.

earliest days of our Nation. If the Takings Clause had been understood to impose restrictions that rendered these sales untenable, they would have presumably faded away, at least after the Fourteenth Amendment incorporated the Takings Clause against the States. See *Chicago, B. & Q. R. Co.* v. *Chicago*, 166 U. S. 226, 241 (1897). Yet these sales remained common then and are common today. That Pung's novel interpretation of the Takings Clause would whisk this longstanding practice into the dust bin is strong evidence that his interpretation is incorrect.

C

To sum up, just compensation in the tax-sale context need not be based on a property's fair market value. That holding answers the first question presented in Pung's petition for certiorari. But in his merits briefing and at oral argument in this Court, Pung raised an additional argument that does not obviously fall within the scope of the first question on which he sought review. He contends that the *procedure* the County followed in seizing and selling his property was unfair in several respects. For one thing, he claims that the County seized more property than necessary to satisfy his tax debt. Instead of selling his house, he argues that the County should have seized his money or placed a lien on his property. He also argues that the County assumed the status of a bailee when it seized his property and violated the responsibilities that go with that status. But these arguments do not fit within the scope of the question presented, which asked only whether the Takings Clause requires the government to compensate owners based on their property's fair market value. See Pet. for Cert. i.

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In response to Pung's procedural arguments, the parties appear to agree that a jurisdiction might violate the Constitution if it employs blatantly unfair procedures, such as by conducting a sham sale or needlessly delaying a tax sale while real estate prices crashed. But the parties disagree

on what constitutes a fair process. According to the County, governments need only follow the contours of state law. For its part, the United States argues that tax sales must be "fairly conducted . . . in light of the Nation's history and tradition of tax sales." Brief for United States as *Amicus Curiae* 26.

We will not resolve any of Pung's newfound procedural arguments. On remand, the Sixth Circuit may decide whether they were properly preserved in that court, and, if they were, may entertain Pung's arguments.[4]

III

Pung also challenges the seizure and sale of his property under the Excessive Fines Clause of the Eighth Amendment. He argues that the County's failure to compensate him for the fair market value of his property constituted an excessive fine. We also reject this claim.

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Forfeiture of property can be a "'fin[e]'" for purposes of the Eighth Amendment if it serves "in part to punish." *Austin* v. *United States*, 509 U. S. 602, 610 (1993); *United States* v. *Bajakajian*, 524 U. S. 321, 328 (1998). To determine whether an exaction is punitive, the Court has consulted historical practice. *Austin*, 509 U. S., at 611–618.

We have already explained that Pung's fair-market-value theory lacks support in either history or precedent. He does not offer any additional historical evidence suggesting that a tax sale which is fairly conducted in light of our Nation's history would violate the Eighth Amendment. Nor has he cited a single decision holding that the government violates the Eighth Amendment by returning only the surplus proceeds from a tax sale. So, like his Fifth Amendment claim, Pung's Eighth Amendment claim lacks historical or precedential support.

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[4] Similarly, because we find no Fifth Amendment violation, remedial questions are not before us either.

In addition, imposing Pung's fair-market-value rule under the Eighth Amendment would invite the same difficulties that would attend his Fifth Amendment theory—namely, the demise of this country's longstanding use of tax sales to collect debts. The Eighth Amendment requires no such thing.[5]

* * *

The Pung family lost its property because it failed to pay its taxes. The Fifth Amendment protects the family's right to surplus proceeds from the tax sale, not compensation for the property's fair market value. The Eighth Amendment offers no greater protections. The judgment of the Sixth Circuit is vacated, and the case is remanded for further proceedings consistent with this opinion.

It is so ordered.

JUSTICE SOTOMAYOR, with whom JUSTICE GORSUCH and JUSTICE JACKSON join, concurring.

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The Court today rightly rejects petitioner Michael Pung's argument that anytime a government forecloses and sells an individual's home to cover an outstanding tax debt, the Fifth Amendment Takings Clause requires the government to pay the home's "hypothetical fair market value." *Ante*, at 33. As the Court explains, surplus proceeds can be just compensation, assuming that the auction sale is "fairly conducted in light of our country's history of tax sales." *Ibid.* Based on this language, I do not read the Court's opinion as identifying the contours of a fair auction, or endorsing the parties' or the United States' articulations of what this standard requires. The Court correctly leaves those issues for remand,

[5] The County argues that the Fifth and Eighth Amendments cannot both apply to the same government action, and the United States argues that the Excessive Fines Clause applies only to fines connected with crimes. Because we reject Pung's Eighth Amendment claim on other grounds, we need not address these broader theories.